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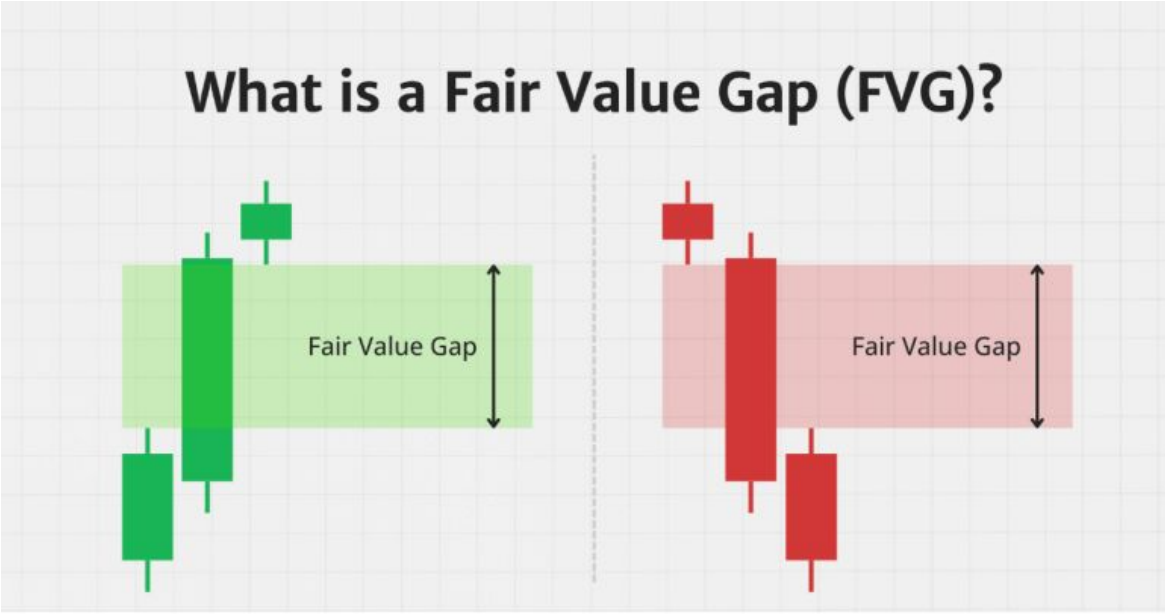
FVG (FAIR VALUE GAP)

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What Is a Fair Value Gap?

- A Fair Value Gap (FVG) is a price imbalance on a chart that occurs when the market moves rapidly in one direction, leaving a zone with little or no trading activity due to an imbalance between buyers and sellers.

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What is a Fair Value Gap (FVG)?
Fair Value Gap
Fair Value Gap
BULLISH FVG
BEARISH FVG

Types of Fair Value Gaps

- Fair value gaps can form in both bullish and bearish markets.

Bullish Fair Value Gap

What is a Bullish Fair Value Gap?

A **bullish fair value gap** is a price imbalance created during a strong upward move where price skips over a range, often acting as support when revisited.



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- A bullish fair value gap forms during a strong upward move when buyers aggressively push price higher, skipping over certain price levels.
- This creates an imbalance—an area on the chart where sellers didn’t have a fair chance to transact.
- The gap typically appears between the high of Candle 1 and the low of Candle 3 in a three-candle pattern. Since price skipped this zone, many traders believe the market may return to “fill” it before continuing higher.

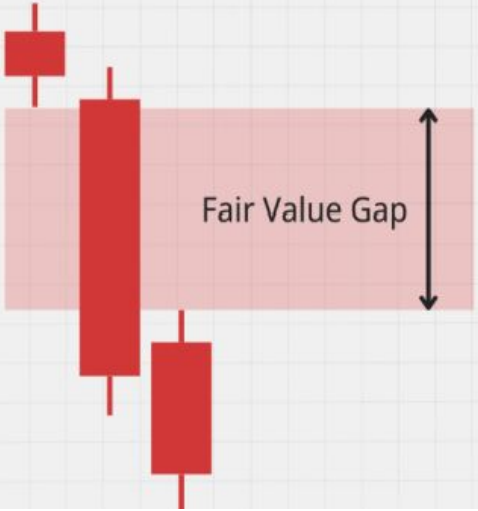
- **Why it matters:**
- Bullish fair value gaps are often used as demand zones. If price revisits the gap and shows signs of holding (e.g. After LTF MS confirmation), traders may enter long positions.

- **What traders look for:**
- Strong bullish momentum before the gap
- Price retracement back into the gap zone
- Entry long with stop loss just below the gap or recent swing low
- Take profit at the next supply or prior high

Bearish Fair Value Gap

What is a Bearish Fair Value Gap?

A **bearish fair value gap** is a price imbalance formed during a sharp downward move where price skips over a range, often acting as resistance when revisited.



- A bearish fair value gap forms in a strong downward move when sellers drive the price lower with force.
- This leaves behind a gap between the low of Candle 1 and the high of Candle 3, showing that buyers didn’t participate at that level.
- This gap zone is seen as an imbalance to the upside—one that price might return to before dropping again.

- **Why it matters:**
- Bearish fair value gaps are often used as supply zones. When the price climbs back into the gap and fails to push through, it may indicate that selling pressure is returning.

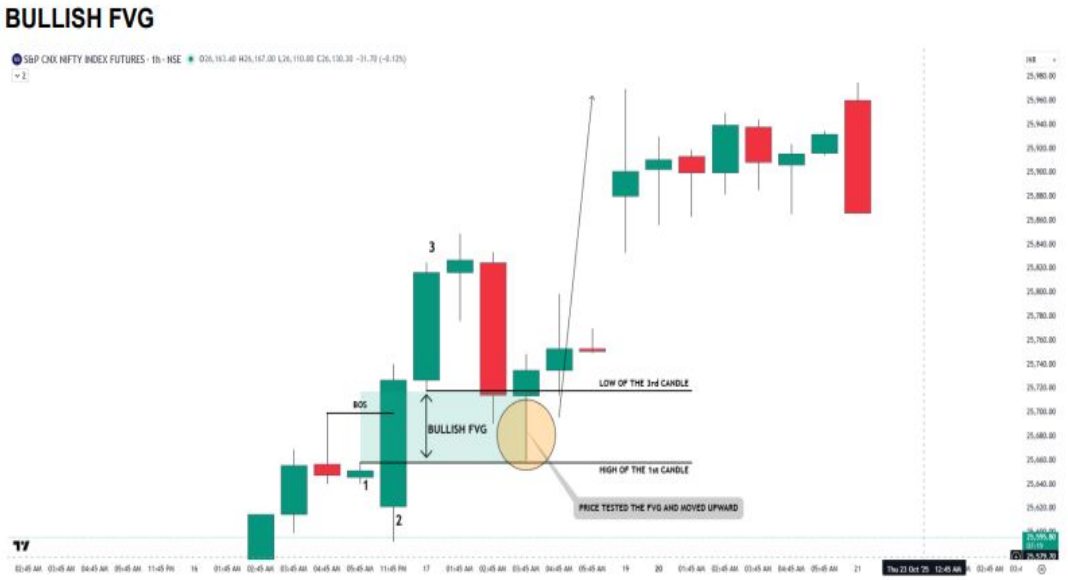
- **What traders look for:**
- Strong bearish move leading into the gap
- Price retracement into the gap zone
- Entry short with stop loss above the gap or recent swing high
- Take profit at the next demand or prior low

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EXAMPLES



EXAMPLES


BULLISH FVG
S&P CNX NIFTY INDEX FUTURES · 1h · NSE
3
2
1
BOS
BULLISH FVG
LOW OF THE 3rd CANDLE
HIGH OF THE 1st CANDLE
PRICE TESTED THE FVG AND MOVED UPWARD



THANK YOU